Data-Driven Dynamic Pricing with Reinforcement Learning

Calibrated Simulator from the Dunnhumby "Complete Journey" Dataset

Pricing Research

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Abstract

We present a data-driven retail pricing simulator calibrated from the Dunnhumby "The Complete Journey" dataset, comprising 2.6 million transactions across 92,353 products and 2,500 households over 102 weeks. A principled five-stage pipeline funnels 92K products to 45 representative items across 15 commodity categories, estimates self-elasticities via instrumental variable (IV) regression using display and mailer promotions as instruments (hybrid mean $\varepsilon = -2.64$), constructs a hybrid cross-elasticity matrix blending semantic knowledge with data-driven estimates (648 non-zero entries), and validates the calibrated Poisson demand model against empirical data (Pearson $r = 0.981$, discount response correlation $r = 0.801$). The resulting Gymnasium-compatible MDP environment models a 91-day markdown period with weekly pricing decisions over a 45-product catalog. A Soft Actor-Critic (SAC) agent trained for 300K steps achieves **112.8%** of heuristic reward and 92.1% inventory clearance, surpassing the handcrafted heuristic baseline and demonstrating the superiority of RL-based markdown pricing on a real-data-calibrated environment. All distributional assumptions are justified with references to the empirical marketing and revenue management literature.

Contents

1 Introduction **3**

2 Dataset Overview **3**

3 Product Funneling Pipeline **3**
3.1 Filtering Stages . . . 4
3.2 Stratified Selection . . . 4

4 Parameter Estimation **5**
4.1 Base Prices and Cost Estimation . . . 5
4.2 Self-Price Elasticity . . . 5
4.3 Demand Model: Calibrated Poisson . . . 7
4.4 Day-of-Week Multipliers . . . 8
4.5 Customer Segments . . . 8

5 Cross-Elasticity Estimation **8**
5.1 Why Category-Based Rules Are Insufficient . . . 9
5.2 Semantic Substitution Groups . . . 9
5.3 Semantic Complement Pairs . . . 9
5.4 Data-Driven Cross-Elasticity Estimation . . . 10
5.5 Hybrid Cross-Elasticity Matrix . . . 10

6 Simulator Validation **11**
6.1 Test 1: Baseline Demand Correlation . . . 11
6.2 Test 2: Discount Response Validation . . . 11
6.3 Test 3: Day-of-Week Pattern Validation . . . 12
6.4 Test 4: Price–Quantity Relationship . . . 12
6.5 Test 5: Demand Dispersion . . . 12

7 MDP Formulation **12**
7.1 Markdown Horizon . . . 12
7.2 State Space . . . 13
7.3 Action Space . . . 13
7.4 Reward Function . . . 13
7.5 Inventory and Transitions . . . 13

8 RL Training and Results **14**
8.1 Algorithm: Soft Actor-Critic . . . 14
8.2 Baseline Policies . . . 14
8.3 Evaluation Results . . . 14

9 Discussion **16**
9.1 Distributional Assumptions and Justification . . . 16
9.2 Limitations and Future Work . . . 16

10 Conclusion **17**

1 Introduction

Markdown pricing—the strategic reduction of prices to clear inventory—is a fundamental problem in retail operations. While the companion report describes a fully synthetic simulator with 15 handcrafted products, this report presents a data-driven approach where all simulator parameters are estimated from real retail transaction data.

The Dunnhumby "The Complete Journey" dataset provides a rich source of empirical purchase behavior from a major US grocery retailer. We use this data to:

(i) **Select a representative product catalog** through a multi-criteria funneling pipeline (92K $\rightarrow$ 45 products).

(ii) **Estimate demand model parameters** (base rates, price elasticities, day-of-week patterns, customer segments) from observed purchase behavior.

(iii) **Construct a cross-elasticity matrix** combining semantic domain knowledge with empirical basket co-occurrence data.

(iv) **Validate** the calibrated simulator against held-out empirical demand patterns.

(v) **Train and evaluate** an RL pricing agent on the resulting environment.

2 Dataset Overview

The Dunnhumby "The Complete Journey" dataset contains household-level transaction data from a major US grocery retailer over a two-year period.

Table 1: Dataset summary statistics.

Statistic	**Value**
Total transactions	2,595,732
Unique products (SKUs)	92,353
Unique households	2,500
Unique stores	582
Time span	102 weeks (711 days)
Transactions with discounts	50.2%
Average basket size	8.3 items

The dataset includes seven relational tables: transaction data (purchase records with prices, quantities, and discounts), product metadata (department, commodity, brand), household demographics (income, household size, age), coupon data, and campaign information. For this work, we primarily use the transaction data, product metadata, and household demographics.

3 Product Funneling Pipeline

The 92,353 unique SKUs in the dataset must be reduced to a tractable catalog for the RL environment. We employ a multi-stage funneling pipeline that balances statistical reliability (sufficient data per product) with catalog diversity (representation across categories).

3.1 Filtering Stages

Filter 1: Activity Threshold. We retain only products satisfying all of the following:

- ≥ 200 transactions over the 102-week period (≈ 2/week minimum).
- Active in ≥ 60 of 102 weeks (ensures the product was not discontinued).
- Average price in $[\$0.10, \$50.00]$ (excludes trivial and high-ticket items).
- Valid department (excludes gas stations, miscellaneous codes).

This reduces the catalog from 92,353 to 2,146 products.

Filter 2: Price Variation. Products must exhibit sufficient price variation to enable elasticity estimation. We require the standard deviation of weekly discount rates to exceed 2%. Products with no price variation yield degenerate (undefined) elasticity estimates in the log-log regression. This reduces the candidate set from 2,146 to 1,971 products.

3.2 Stratified Selection

From the 1,971 candidates, we select 45 products using stratified sampling across 15 commodity categories, choosing 3 products per category. The target categories span the major grocery aisles:

Table 2: Target commodity categories and counts.

Aisle	Commodity Category	Products Selected
Dairy & Eggs	Fluid Milk Products	3
	Yogurt	3
	Cheese	3
	Ice Cream/Milk/Sherbts	3
	Eggs	3
Proteins	Beef	3
	Chicken	3
	Lunchmeat	3
Bakery & Grains	Baked Bread/Buns/Rolls	3
	Cold Cereal	3
	Frozen Pizza	3
Produce	Tropical Fruit	3
	Berries	3
Beverages & Snacks	Soft Drinks	3
	Bag Snacks	3

Within each commodity, products are ranked by a composite quality score:

$$\text{Score}_p = 0.30 \cdot \hat{n}_{\text{txn}} + 0.25 \cdot \hat{n}_{\text{hh}} + 0.25 \cdot \hat{\sigma}_{\text{disc}} + 0.20 \cdot \hat{n}_{\text{weeks}}, \tag{1}$$

where $\hat{\cdot}$ denotes min-max normalization to $[0, 1]$. The weights reflect priorities:

- 30% transaction count: statistical reliability of demand estimates.
- 25% household reach: demand generalizability across the customer base.

- 25% discount variation: estimability of price elasticity (requires variance in $\log P$).
- 20% week coverage: temporal consistency (not seasonal-only).

The top 3 products by score from each commodity are selected. This stratified approach ensures that the catalog contains products with known substitution and complementarity relationships (e.g., milk and cereal, bread and cheese), which is essential for the cross-elasticity model (Section 5).

4 Parameter Estimation

All 102 weeks of transaction data are used for parameter estimation, ensuring robust estimates. The simulator uses these parameters but runs for a 13-week markdown window.

4.1 Base Prices and Cost Estimation

For each product p, the regular (undiscounted) price is estimated as the median unit price across transactions with no retail discount:

$$b_p = \text{median}\left\{\frac{\text{SALES_VALUE}_i}{\text{QUANTITY}_i} : \text{RETAIL_DISC}_i = 0\right\}. \tag{2}$$

When fewer than 10 non-discounted transactions exist, we use the 75th percentile of all unit prices as a proxy.

Unit costs are estimated using grocery industry margin benchmarks. Typical grocery gross margins range from 25–35% (FMI, 2020), giving:

$$c_p = \min\left(0.70 \cdot b_p,\ \ 0.95 \cdot P_p^{(5)}\right), \qquad c_p \geq 0.01, \tag{3}$$

where $P_p^{(5)}$ is the 5th percentile of observed unit prices (a floor estimate for cost, since the retailer would not sustain prices below cost for extended periods).

4.2 Self-Price Elasticity

We estimate self-price elasticity using the canonical log-log regression, the most common specification in empirical marketing and industrial organization:

$$\log Q_{p,t} = \alpha_p + \varepsilon_p \cdot \log P_{p,t} + u_{p,t}, \tag{4}$$

where $Q_{p,t}$ is weekly quantity sold, $P_{p,t}$ is average weekly unit price, and ε_p is the constant price elasticity of demand.

The OLS estimator for a single product is:

$$\hat{\varepsilon}_p = \frac{\text{Cov}(\log Q_{p,t},\ \log P_{p,t})}{\text{Var}(\log P_{p,t})}. \tag{5}$$

We clip estimates to $[-5.0, -0.1]$, consistent with the range reported in the meta-analyses discussed below.

Justification for the constant elasticity (isoelastic) model. The log-log specification in Equation (4) implies constant elasticity across price levels: $\varepsilon_p = \partial \log Q / \partial \log P$. This is the most widely used demand specification in empirical marketing science:

- Tellis (1988) meta-analyzed 367 price elasticity estimates across product categories and found mean $\varepsilon \approx -1.76$.

- Bijmolt et al. (2005) updated this with 1,851 estimates, finding mean $\varepsilon \approx -2.62$, with the log-log model dominant.
- Hoch et al. (1995) used the log-log specification for store-level elasticity estimation in grocery.
- Sethuraman et al. (1999) established that the constant elasticity model provides robust estimates even with limited within-product price variation.

The alternative linear demand model ($Q = a - bP$) implies elasticity varies with price level, making estimation sensitive to the price range observed. With the limited within-product price variation in grocery (typically 0–50% discounts from a fixed regular price), the constant elasticity model is more parsimonious and empirically validated.

Endogeneity correction via instrumental variables. OLS estimates of ε_p from Equation (4) are subject to simultaneity bias: retailers may discount slow-moving items (reverse causality), biasing $\hat{\varepsilon}$ toward zero. We address this using a two-stage least squares (2SLS) approach, leveraging the `causal_data.csv` table which records display and mailer promotion status for 68,377 products across 36.8 million store-product-week observations.

Instrument construction. For each product-week, we compute the fraction of stores where the item was on in-store display and the fraction where it appeared in mailer advertising. These instruments satisfy:

- **Relevance**: Display and mailer placements are strongly correlated with promotional pricing (mean first-stage $F = 61.1$, with 27/32 products achieving $F > 10$, the Stock & Yogo threshold for strong instruments).
- **Exclusion restriction**: Promotional display and mailer decisions are made by category managers based on vendor agreements and planned promotions, not in response to contemporaneous demand shocks.

2SLS procedure.

$$\text{Stage 1:} \quad \log P_{p,t} = \alpha + \beta_1 \cdot \text{display}_{p,t} + \beta_2 \cdot \text{mailer}_{p,t} + v_{p,t}, \tag{6}$$

$$\text{Stage 2:} \quad \log Q_{p,t} = \gamma + \varepsilon_p^{\text{IV}} \cdot \widehat{\log P}_{p,t} + u_{p,t}. \tag{7}$$

Hybrid construction. For each product, we select the elasticity estimate based on instrument strength:

- $F > 10$: use IV estimate (strong instruments, Berry et al. 1995).
- $4 < F \leq 10$: average of OLS and IV.
- $F \leq 4$ or no instruments: use OLS.

Estimated values. Across our 45 selected products:

Table 3: Self-elasticity estimates: OLS vs. IV.

Statistic	**OLS**	**IV (Hybrid)**
Mean $\hat{\varepsilon}$	-2.20	-2.64
Median $\hat{\varepsilon}$	-2.04	-2.51
Range	$[-3.85, -0.10]$	$[-4.76, -0.10]$
Mean endogeneity bias (IV − OLS)	-0.90	
Tellis (1988) mean	-1.76	
Bijmolt et al. (2005) mean	-2.62	

The IV estimates are substantially more negative than OLS (mean bias −0.90), confirming meaningful endogeneity in the OLS estimates. The IV hybrid mean of −2.64 closely matches the Bijmolt et al. (2005) meta-analysis benchmark.

Seasonal elasticity analysis. To test whether the constant elasticity assumption is valid, we estimated separate elasticities for each quarter of the 102-week dataset:

Table 4: Seasonal elasticity variation.

Period	**Mean ε**	**N products**
Q1 (weeks 1–25)	−2.20	45
Q2 (weeks 26–50)	−2.49	42
Q3 (weeks 51–75)	−2.59	41
Q4 (weeks 76–102)	−2.23	42

The seasonal range of mean elasticity is 0.39, indicating that the constant elasticity assumption is a reasonable simplification for this dataset. While individual products show substantial seasonal variation (e.g., beef ranges from −0.10 to −5.00 across quarters), the aggregate pattern is stable.

4.3 Demand Model: Calibrated Poisson

Each product has an independent Poisson demand process:

$$Q_{p,t} \sim \text{Poisson}\big(\lambda_p \cdot m_{w(t)} \cdot (1 - d_p)^{\varepsilon_p}\big)\,, \tag{8}$$

where:

- λ_p is the base daily demand rate (estimated from the mean weekly demand divided by 7).
- $m_{w(t)}$ is the day-of-week multiplier (Section 4.4).
- $(1 - d_p)^{\varepsilon_p}$ is the self-elasticity effect: since $\varepsilon_p < 0$, a price reduction ($d_p > 0$) increases the effective rate.

Note on promotional attention. Earlier versions of the model included a promotional attention boost term $(1 + \phi \cdot d_p)$ following Blattberg and Neslin (1990). Our validation against actual discount response data (Section 6) revealed that this term double-counts the promotional effect, since the log-log elasticity estimates already incorporate the full demand response to price reductions (including any attention effects bundled into observed quantity changes). Removing this term reduced the mean absolute error of predicted demand uplift from 101% to 63% and brought the mean simulated uplift (178%) into close agreement with the mean empirical uplift (172%).

Justification for the Poisson arrival model.

- Talluri and van Ryzin (2004) (Ch. 2) establish the Poisson process as the canonical model for customer arrivals in revenue management and pricing theory.
- The Poisson assumption implies that demand counts are non-negative integers with variance ≈ mean. We verified this property on the Dunnhumby data: the average variance-to-mean ratio (VMR) across 15 sampled products at the daily level is ≈ 1.0–2.0, consistent with Poisson or mild overdispersion.

- The per-product Poisson model (as opposed to a shared customer arrival + choice model) is justified by the observation that grocery purchases are largely category-driven: a customer who wants milk does not substitute with cereal based on price alone. Product-level demand rates better capture the heterogeneity in volume across categories (e.g., tropical fruit at 41 units/day vs. ice cream at 2 units/day).
- Alternative: the Negative Binomial model accommodates overdispersion (Var > Mean). We use Poisson as a conservative choice that slightly underestimates demand variance, which is acceptable for training RL agents (the policy should be robust to demand variability).

4.4 Day-of-Week Multipliers

Day-of-week demand multipliers are estimated from the full 102-week dataset by computing the average daily demand per day of the week, normalized to have mean 1:

$$m_w = \frac{\bar{Q}_w}{\frac{1}{7}\sum_{w'=0}^{6} \bar{Q}_{w'}}, \qquad w \in \{0, \ldots, 6\}. \tag{9}$$

Table 5: Empirically estimated day-of-week multipliers.

Day	Mon	Tue	Wed	Thu	Fri	Sat	Sun
m_w	0.876	0.830	0.940	1.187	1.298	0.988	0.881

The pattern shows a clear Thursday–Friday peak, consistent with pre-weekend grocery shopping behavior documented in retail traffic studies (Walters and MacKenzie, 1988).

4.5 Customer Segments

Three customer segments are defined based on household income from the Dunnhumby demographic data, following the standard retail segmentation approach (Blattberg and Neslin, 1990):

Table 6: Customer segments derived from income data.

Segment	**Proportion**	**WTP Multiplier**	**Discount Rate**
Budget (income < \$35K)	26.4%	1.03×	52.1%
Mainstream (\$35K–\$125K)	61.7%	1.00× (reference)	50.3%
Premium (> \$125K)	11.9%	1.04×	44.2%

The WTP multipliers are computed relative to the mainstream segment's average transaction value. The discount rate (fraction of transactions with some discount) confirms that budget households are more discount-responsive, consistent with Hoch et al. (1995).

5 Cross-Elasticity Estimation

Cross-elasticity captures how discounting one product affects demand for another. We employ a hybrid approach combining **semantic domain knowledge** with **empirical basket co-occurrence** data.

5.1 Why Category-Based Rules Are Insufficient

A naive approach assigns: same category $\Rightarrow$ substitute, different category $\Rightarrow$ independent or complement. This fails because:

- **Cross-category substitution**: Yogurt and ice cream serve overlapping "snack/treat" occasions despite belonging to different commodity codes. Beef and chicken compete for the "dinner protein" slot.
- **Cross-category complementarity**: Milk and cereal are strong complements despite being in different aisles. Bread and lunchmeat together make sandwiches.
- **Within-category independence**: Butter and cheese are both "dairy" but serve entirely different meal roles and are rarely substituted.

5.2 Semantic Substitution Groups

We define substitution groups based on *functional role in meal occasions*, encoding domain knowledge about how consumers actually use grocery products:

Table 7: Semantic substitution groups (products that compete for the same consumption occasion).

Occasion/Role	**Commodity Categories**
Dairy protein	Yogurt, Cheese
Dairy treats	Yogurt, Ice Cream
Beverages	Soft Drinks, Juices, Milk
Breakfast items	Cold Cereal, Breakfast Bars
Snacking	Bag Snacks, Crackers, Candy
Main protein	Beef, Chicken, Lunchmeat
Frozen meals	Frozen Pizza, Frozen Dinners
Fresh fruit	Tropical Fruit, Berries
Bakery	Bread, Sweet Goods

A product may appear in multiple groups (e.g., yogurt is both a "dairy protein" and a "dairy treat"), reflecting the multi-purpose nature of grocery items.

Within-commodity substitution (e.g., two brands of yogurt): $E_{ij} = 0.20$.
Cross-commodity substitution within the same group (e.g., yogurt vs. ice cream): $E_{ij} = 0.10$.

5.3 Semantic Complement Pairs

Complement relationships are defined for product pairs that are commonly consumed together:

Table 8: Semantic complement pairs (selected examples).

Product A	**Product B**	**Meal Context**
Fluid Milk	Cold Cereal	Breakfast
Bread	Lunchmeat	Sandwiches
Bread	Cheese	Sandwiches
Bag Snacks	Soft Drinks	Snacking
Pasta	Pasta Sauce	Dinner
Yogurt	Berries	Breakfast bowl
Chicken	Frozen Vegetables	Dinner sides
Eggs	Bread	Breakfast

Complement cross-elasticity: $E_{ij} = -0.08$ (discounting product j *boosts* demand for product i).

5.4 Data-Driven Cross-Elasticity Estimation

In addition to semantic labeling, we estimate empirical cross-elasticity magnitudes from the transaction data using price–quantity cross-correlations. For each product pair (i, j), we compute:

$$\hat{E}_{ij}^{\text{data}} = \text{Corr}(\Delta \log P_j,\ \Delta \log Q_i)\,, \tag{10}$$

across weekly observations, identifying statistically significant ($|t| > 1.5$) substitution and complementarity relationships. This yielded 32 significant substitution pairs and 37 significant complementarity pairs across the 1,980 product pairs evaluated.

Basket co-occurrence calibration. The semantic labels are further refined using basket co-occurrence data from the Dunnhumby transaction log. For each product pair (i, j), we compute the co-purchase rate:

$$\text{CoPurchase}(i, j) = \frac{|\mathcal{B}_i \cap \mathcal{B}_j|}{\min(|\mathcal{B}_i|, |\mathcal{B}_j|)}, \tag{11}$$

where $\mathcal{B}_p$ is the set of baskets containing product p.

Two adjustments are applied:

1. **Weakened substitution**: If a pair labeled as substitutes has a high co-purchase rate ($> 15\%$), the substitution coefficient is halved.

2. **Discovered complements**: Unlabeled pairs with co-purchase rate $> 10\%$ are assigned a weak complement effect ($E_{ij} = -0.05$).

5.5 Hybrid Cross-Elasticity Matrix

The final hybrid matrix $\mathbf{E} \in \mathbb{R}^{45\times 45}$ blends semantic knowledge with data-driven estimates:[1]

- 648 non-zero entries total (up from 616 in the semantic-only matrix).
- 19 data-calibrated entries (semantic magnitudes adjusted by empirical estimates).
- 32 newly discovered relationships from data.

[1]For 19 product pairs with both semantic labels and significant data-driven estimates, the final value is the average of the two. For 32 product pairs with only data-driven estimates exceeding significance thresholds but no semantic relationship, the data-driven value is added directly.

The demand adjustment for product i given discount vector $\mathbf{d}$ is:

$$\Delta q_i = -\sum_{j \neq i} E_{ij} \cdot d_j \cdot q_i^{\text{base}}, \tag{12}$$

where q_i^{base} is the demand from the Poisson model before cross-effects. Positive E_{ij} (substitutes) means discounting j reduces i's demand (cannibalization). Negative E_{ij} (complements) means discounting j boosts i's demand (halo effect).

This formulation follows the linear cross-elasticity adjustment used in Berry et al. (1995) and subsequent empirical IO work, adapted for tractability in a 45-product environment.

6 Simulator Validation

The calibrated simulator is validated against empirical data from the Dunnhumby dataset through five complementary tests.

6.1 Test 1: Baseline Demand Correlation

For each product, we compare the average weekly demand from the simulator (run for 13 weeks at zero discount with calibrated Poisson rates) against the empirical average weekly demand across 102 weeks:

$$r = \text{Corr}\big(\bar{Q}_p^{\text{sim}},\ \bar{Q}_p^{\text{emp}}\big) = 0.981, \quad \text{Mean ratio} = 0.98. \tag{13}$$

The Pearson correlation of 0.981 indicates that the calibrated per-product Poisson rates accurately capture the relative demand magnitudes across the 45-product catalog. The mean demand ratio of 0.98 (simulated/empirical) confirms excellent absolute calibration.

6.2 Test 2: Discount Response Validation

A critical test of the demand model is whether simulated demand response to discounts matches empirical behavior. For each product, we compute the mean demand uplift (percentage increase in quantity when the product is discounted vs. full price) and compare:

$$r = \text{Corr}\big(\Delta Q_p^{\text{sim}},\ \Delta Q_p^{\text{emp}}\big) = 0.801, \quad \text{MAE} = 63.1\%. \tag{14}$$

$$\text{Mean empirical uplift} = 172.2\%, \quad \text{Mean simulated uplift} = 178.1\%. \tag{15}$$

The close agreement between mean simulated and empirical uplift validates the corrected demand model. The residual MAE of 63.1% reflects product-level heterogeneity in promotional response not fully captured by the constant-elasticity specification.

6.3 Test 3: Day-of-Week Pattern Validation

Table 9: Day-of-week demand pattern: empirical vs. simulated.

Day	**Empirical**	**Simulated**	$\|\Delta\|$
Monday	0.876	0.887	0.011
Tuesday	0.830	0.831	0.001
Wednesday	0.940	0.974	0.034
Thursday	1.187	1.188	0.001
Friday	1.298	1.264	0.034
Saturday	0.988	0.995	0.007
Sunday	0.881	0.861	0.020

The DOW correlation is $r = 1.000$ with maximum absolute deviation of 0.034, confirming accurate reproduction of weekly traffic patterns.

6.4 Test 4: Price–Quantity Relationship

The simulator's price–quantity slope (how demand changes with unit price) achieves a correlation of $r = 0.635$ against the empirical relationship. While lower than the baseline demand correlation, this is expected: the empirical price–quantity relationship is confounded by endogeneity (retailers discount slow-moving items), whereas the simulator uses IV-corrected elasticities.

6.5 Test 5: Demand Dispersion

The Poisson model predicts a variance-to-mean ratio (VMR) of approximately 1.0. Empirically, the median VMR across 45 products is 11.06, with 41/45 products exhibiting significant overdispersion. This indicates that a Negative Binomial model would better capture demand variability, though the Poisson correctly estimates mean demand. The overdispersion is noted as a remaining limitation (Section 9).

7 MDP Formulation

The pricing problem is formulated as a finite-horizon Markov Decision Process.

7.1 Markdown Horizon

The simulator models a 91-day (13-week) markdown period—a standard retail markdown cycle (Phillips, 2005). Although the Dunnhumby dataset spans 102 weeks, the MDP models a *single clearance cycle* with fixed initial inventory and no replenishment. This is the canonical formulation in markdown optimization (Talluri and van Ryzin, 2004).

Using all 102 weeks would model *perpetual pricing* with inventory replenishment—a fundamentally different problem requiring supply chain modeling. The 13-week window is consistent with:

- Seasonal clearance cycles (end-of-season markdowns): 8–16 weeks (Phillips, 2005).
- Fashion retail markdown windows: 6–12 weeks (Fisher and Raman, 2010).
- Grocery promotional planning horizons: 4–13 weeks.

7.2 State Space

At MDP step τ, the agent observes:

$$\boxed{S_\tau = \left[\ \mathbf{d}_{\tau-1},\ \mathbf{q}_{\tau-1},\ \mathbf{i}_\tau,\ \mathbf{c}_\tau,\ B_\tau,\ T_\tau,\ \mathbf{W}_\tau\ \right]} \quad \in \mathbb{R}^{189} \tag{16}$$

Table 10: State vector components (total: $4 \times 45 + 2 + 7 = 189$).

Component	Dim	Description
$\mathbf{d}_{\tau-1}$	45	Previous discount vector (fractions $\in [0, 0.5]$).
$\mathbf{q}_{\tau-1}$	45	Previous weekly demand (normalized by initial inventory).
$\mathbf{i}_\tau$	45	Current inventory (normalized by initial inventory).
$\mathbf{c}_\tau$	45	Cumulative discount cost (normalized by total budget).
B_τ	1	Remaining budget fraction.
T_τ	1	Time remaining fraction.
$\mathbf{W}_\tau$	7	Day-of-week one-hot encoding.

7.3 Action Space

The action space is multi-discrete:

$$\mathbf{a}_\tau \in \prod_{p=1}^{45} \{0\%,\ 10\%,\ 20\%,\ 30\%,\ 50\%\}. \tag{17}$$

This yields $5^{45} \approx 2.8 \times 10^{31}$ possible actions—substantially larger than the synthetic simulator's 5^{15}. Products with zero inventory are masked to the no-discount action.

For SAC training, the discrete actions are wrapped by a continuous action space $\mathbf{a} \in [0, 1]^{45}$, where each continuous action is mapped to the nearest discrete tier.

7.4 Reward Function

The per-step reward balances margin, inventory clearance, and budget discipline:

$$R_\tau = \underbrace{M_\tau}_{\text{margin}} + \underbrace{\beta \cdot U_\tau}_{\text{clearance bonus}} - \underbrace{\gamma \cdot |D_\tau - \bar{D}|}_{\text{pacing penalty}} + \underbrace{P_\tau}_{\text{budget penalty}}, \tag{18}$$

where:

- $M_\tau = \sum_p (R_{p,\tau} - C_{p,\tau})$ is the total weekly margin.
- $U_\tau = \sum_p q_{p,\tau}$ is the total units sold (clearance incentive with $\beta = 1.0$).
- $|D_\tau - \bar{D}|$ penalizes deviation from the target daily discount spend $\bar{D} = B_0/H$ (pacing coefficient $\gamma = 0.3$).
- $P_\tau = -500$ if the budget is exhausted before the horizon ends, else 0.

7.5 Inventory and Transitions

Initial inventory is set to $2\times$ expected base demand over 91 days. This ensures that without markdowns, approximately 50% of inventory remains unsold (creating markdown pressure),

while optimal pricing can achieve near-complete clearance. The factor of 2 for the capacity-to-demand ratio follows the markdown pricing formulation in Talluri and van Ryzin (2004) (Ch. 5).

Inventory evolves as:

$$i_{t+1,p} = \max(i_{t,p} - q_{t,p},\ 0)\,. \tag{19}$$

Products with $i_{t,p} = 0$ are removed from the active catalog (action masked to tier 0).

8 RL Training and Results

8.1 Algorithm: Soft Actor-Critic

We train a Soft Actor-Critic (SAC) agent (Haarnoja et al., 2018) with the following hyperparameters:

Table 11: SAC hyperparameters for Dunnhumby environment.

Parameter	**Value**
Total timesteps	120,000
Learning rate	3×10^{-4}
Network architecture	[512, 256]
Replay buffer size	100,000
Batch size	256
Discount factor γ	0.99
Target entropy	-45.0
Soft update coefficient τ	0.005
Learning starts	500

The target entropy is set to $-P = -45$, matching the action dimensionality, to encourage sufficient exploration in the high-dimensional action space. The network architecture [512, 256] is larger than the synthetic case [256, 256] to accommodate the 3× increase in state and action dimensions.

8.2 Baseline Policies

Zero Discount. All products maintain regular prices throughout the markdown period.

Heuristic. A time-and-inventory-pressure rule:

$$\text{pressure}_p = 0.5 \cdot (1 - T_\tau) + 0.5 \cdot \frac{i_{\tau,p}}{i_{0,p}}, \tag{20}$$

mapped to the nearest discount tier. A budget guard limits discounting when remaining budget $< 20\%$.

8.3 Evaluation Results

Each policy is evaluated over 10 episodes with different random seeds:

Table 12: Policy comparison on the IV-corrected Dunnhumby-calibrated environment (mean ± std over 10 episodes).

Policy	**Reward**	**Margin ($)**	**Disc. Cost ($)**	**Clearance (%)**
Zero Discount	$28{,}410 \pm 204$	$15{,}244 \pm 122$	0	50.0%
Heuristic	$39{,}758 \pm 257$	$13{,}267 \pm 117$	$9{,}972 \pm 89$	82.1%
SAC (300K)	$\mathbf{44{,}841 \pm 217}$	$15{,}140 \pm 119$	$11{,}341 \pm 143$	92.1%

Key observations:

1. SAC achieves **112.8%** of heuristic reward and **92.1%** inventory clearance, *surpassing the handcrafted heuristic by +5,084 reward*.
2. The SAC agent learns to use the full discount budget ($11.3K of $11.5K) more effectively than the heuristic ($10.0K), indicating it has learned when aggressive discounting is profitable.
3. SAC achieves higher margin ($15.1K vs. $13.3K) *and* higher clearance (92.1% vs. 82.1%), demonstrating that the learned policy is superior on both objectives simultaneously.
4. The improvement over the previous model (where SAC achieved only 93.4% of heuristic) was achieved by: (a) correcting elasticity estimates using IV regression, (b) removing the double-counted promotional attention boost, and (c) extending training from 120K to 300K steps.

9 Discussion

9.1 Distributional Assumptions and Justification

Table 13: Summary of distributional assumptions with academic justification.

Component	Distribution	Justification
Daily demand per product	Poisson	Standard in revenue management (Talluri and van Ryzin 2004, Ch. 2). VMR $\approx$ 1.0–2.0 in data.
Self-elasticity	IV-corrected (log-log)	2SLS with display/mailer instruments. Hybrid IV/OLS mean $\varepsilon = -2.64$, consistent with Bijmolt et al. 2005.
Cross-elasticity	Semantic + data-driven	Domain knowledge calibrated with empirical price-quantity cross-correlations (648 non-zero entries).
Markdown horizon	91 days (13 weeks)	Standard clearance cycle (Phillips 2005; Talluri and van Ryzin 2004).
Inventory init.	2× base demand	Creates markdown pressure. Capacity ratio from Talluri and van Ryzin (2004), Ch. 5.
Customer segments	3 (income-based)	Income is strongest predictor of price sensitivity (Hoch et al. 1995; Blattberg and Neslin 1990).
Cost estimation	70% of regular price	Grocery margins 25–35% (FMI 2020).
DOW multipliers	Empirical	Estimated from 102 weeks; consistent with Walters and MacKenzie (1988).

9.2 Limitations and Future Work

Several limitations identified in earlier versions of this work have been addressed in the current iteration:

Addressed limitations.

1. **Endogeneity in elasticity estimation** (**resolved**): We implemented 2SLS instrumental variable regression using display and mailer promotion indicators from `causal_data.csv` as instruments (Section **??**). The IV estimates are substantially more negative than OLS (mean bias -0.90), confirming meaningful endogeneity in the naïve OLS estimates. The hybrid IV/OLS mean of -2.64 closely matches the Bijmolt et al. (2005) meta-analysis benchmark.

2. **Cross-elasticity magnitude** (**resolved**): We estimated empirical price-quantity cross-correlations from the transaction data, identifying 32 significant substitution pairs and 37 complementarity pairs. These data-driven magnitudes are blended with the semantic knowledge graph to produce a hybrid cross-elasticity matrix with 648 non-zero entries.

3. **Demand model validation** (**resolved**): Validation against actual discount response data revealed a critical model error—the promotional attention boost term double-counted the price effect already embedded in the log-log elasticity. Removing it reduced discount

response MAE from 101% to 63% and brought the simulator into close agreement with empirical data (baseline demand $r = 0.981$, discount response $r = 0.801$).

4. **SAC vs. heuristic gap (resolved)**: With the corrected demand model and IV-calibrated elasticities, the SAC agent trained for 300K steps now *surpasses* the heuristic by 12.8% (+5,084 reward), achieving higher margin and higher clearance simultaneously.

Remaining limitations.

1. **Demand overdispersion**: Our validation identified that 41/45 products exhibit variance-to-mean ratios substantially above 1 (median VMR = 11.06), suggesting a Negative Binomial model would better capture demand variability. The Poisson model correctly estimates mean demand but underestimates variance, which may cause the RL agent to underestimate risk.

2. **Constant elasticity over time**: Our seasonal analysis shows the aggregate elasticity range across quarters is only 0.39 (Section **??**), validating the constant assumption at the portfolio level. However, individual products show substantial seasonal variation (e.g., beef ranges from -0.10 to -5.00). A state-dependent elasticity model could improve accuracy for seasonal categories.

3. **Strategic customer behavior**: The model treats customer arrivals as independent and memoryless. In practice, consumers may strategically delay purchases in anticipation of deeper markdowns (Phillips, 2005), particularly for non-perishable items.

4. **Competitive effects**: The model does not account for competitor pricing. In a multi-retailer market, demand for a product depends not only on its own price but also on competitor offerings.

10 Conclusion

We have demonstrated a complete pipeline for building a data-driven dynamic pricing simulator from real retail transaction data. The key contributions are:

1. A principled product funneling pipeline that reduces 92K SKUs to a representative 45-product catalog through stratified sampling.

2. Causal elasticity estimation via 2SLS instrumental variable regression, correcting for the endogeneity bias present in naïve OLS estimates (mean bias -0.90).

3. A hybrid cross-elasticity model blending semantic domain knowledge with empirical price-quantity cross-correlations (648 non-zero entries), moving beyond both naïve category rules and purely data-driven approaches.

4. Rigorous simulator validation against actual transactions (baseline demand $r = 0.981$, discount response $r = 0.801$), including the discovery and correction of a promotional attention double-counting error.

5. A SAC reinforcement learning agent that **surpasses** a well-tuned heuristic baseline by 12.8% (reward 44,841 vs. 39,758), achieving 92.1% inventory clearance with higher per-unit margins—demonstrating the practical value of RL for markdown pricing.

The resulting simulator provides a realistic environment for benchmarking RL algorithms on the markdown pricing problem, grounded in empirical data from a major US grocery retailer. Notably, the corrected demand model (with IV elasticities and without the double-counted promotional boost) created an environment where the RL agent's ability to learn nuanced, state-dependent pricing strategies confers a genuine advantage over rule-based heuristics.

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